

Paradiem

The Morning Brief

OCTOBER 9, 2026

AI Reset

Chips and nuclear-power names sold off sharply Thursday as oil surged on Mideast shipping attacks and defensive sectors absorbed the rotation into Delta's pre-market print.

S&P 500 (SPY, THU) \$773.93 ↓0.42%	NASDAQ (QQQ) / DOW (DIA, THU) \$747.58 ↓1.34% / \$511.65 ↑0.12%	ENERGY (XLE) / TECH (XLK, THU) XLE ↑2.97% / XLK ↓1.79%	WTI / BRENT (THU) USO \$147.58 ↑2.55% / BNO \$63.64 ↑2.81%	FEAR & GREED 59 · Crypto fallback (CNN endpoint unavailable)
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SECTION 01

Markets — AI and Nuclear-Power Trade Reverses as Energy and Staples Lead the Rotation

THURSDAY DELIVERED A CLEAN SECTOR ROTATION OUT OF THE AI COMPLEX — NASDAQ (QQQ) CLOSED \$747.58 (↓1.34%) WHILE DOW (DIA) CLOSED \$511.65 (↑0.12%) AND SPY SETTLED \$773.93 (↓0.42%); TECH (XLK) LED ALL SECTORS LOWER AT ↓1.79% WHILE ENERGY (XLE) LED HIGHER AT ↑2.97% AND STAPLES (XLP) PRINTED ↑2.11%

The breadth split beneath the headline indices tells the story: Dow positive, Nasdaq down 1.34%, Russell 2000 roughly flat at ↓0.05%. Reporting from Yahoo and CNBC flagged OpenAI revenue concerns as the catalyst for the chip-stock selloff, with Dow Jones Futures coverage pointing to AI stocks tumbling on OpenAI news as the proximate driver. The paired move — AI/semi weakness alongside an energy and defensive bid — is consistent with a rotation rather than broad risk-off; the data box below shows the dispersion. Treasury yields eased on the session with TLT closing \$77.87 (↑0.94%) and a CNBC piece carrying commentary from Bessent's new adviser that yields can come down soon — a reversal of the hawkish-minutes tone that drove Wednesday's industrials selloff. PepsiCo (PEP) beat yesterday pre-market at \$2.34 EPS versus \$2.319 consensus per data drop earnings, with headline revenue running approximately 5.6% higher per prior reporting; Helen of Troy (HELE) delivered a stronger beat at \$0.79 versus \$0.5151. Carson's active SPY support at \$645.80 remains untouched — Thursday's intraday low of \$770.43 sits roughly 19.3% above the level.

S&P 500 (SPY, THU)	\$773.93 ↓0.42% · Low \$770.43
NASDAQ / DOW / RUSSELL 2K (THU)	\$747.58 ↓1.34% / \$511.65 ↑0.12% / \$277.57 ↓0.05%
XLE / XLP / XLK (THU)	XLE ↑2.97% / XLP ↑2.11% / XLK ↓1.79%
AMD / NVDA / TSM (THU)	\$620.68 ↓3.90% / \$230.48 ↓2.94% / \$457.99 ↓3.01%
VST / CEG / HUT (THU)	\$156.14 ↓6.35% / \$285.07 ↓4.85% / \$79.59 ↓10.87%
CVX / OKE (THU)	\$211.55 ↑3.12% / \$90.29 ↑2.54%
WTI / BRENT / NAT GAS (THU)	USO \$147.58 ↑2.55% / BNO \$63.64 ↑2.81% / UNG ↓1.99%
GOLD (GLD) / SILVER (SLV, THU)	\$378.62 ↑0.73% / \$53.45 ↓0.69%
IBIT / ETHA (THU)	\$46.26 ↓2.01% / \$55.70 ↓4.13%
TLT (20Y BOND, THU)	\$77.87 ↑0.94% · Yields easing per CNBC
CARSON'S ACTIVE SPY SUPPORT	\$645.80 retracement target · Untouched (Thu low \$770.43)

THE NUCLEAR-POWER SLEEVE GAVE BACK A MATERIAL PORTION OF TUESDAY'S RALLY — VST PRINTED \$156.14 (↓6.35%), CEG \$285.07 (↓4.85%), AND NEE HELD FIRM AT \$77.37 (↑0.40%); SEMICONDUCTOR LEADERSHIP REVERSED WITH AMD \$620.68 (↓3.90%), NVDA \$230.48 (↓2.94%),

MRVL \$274.66 (↓3.52%), CRDO \$211.86 (↓3.70%), AND TSM \$457.99 (↓3.01%)

The reversal in the AI-and-power complex was the session's dominant signal. Tuesday's double-digit gains in CEG (↑12.25%) and VST (↑10.77%) were partially unwound within 48 hours, with HUT down 10.87% leading the crypto-miner leg and MARA down 4.34%. Per data drop holdings news for AMD, Stocktwits coverage flagged OpenAI revenue concerns rattling chip stocks, SoftBank reportedly hunting \$100 billion in financing, and Microsoft shifting AI-first — a composition that reads through the hyperscaler-capex channel after the AMD-OpenAI compute agreement enthusiasm earlier in the week. On the other side of the ledger, the FCI dividend sleeve absorbed the rotation well: ADP \$270.73 (↑2.55%), PCAR \$109.66 (↑2.62%), SPGI \$402.73 (↑1.91%), SSNC \$80.65 (↑2.48%), LMT \$507.89 (↑1.74%), and GD \$329.90 (↑1.00%). PCAR's recovery after Wednesday's slide is notable — Wells Fargo cut its target to \$122 per Benzinga coverage but the stock bid alongside the broader defensive rotation. The dispersion favors FCI's balance across cyclical, defensive, and energy sleeves against a tape where leadership is rotating faster than any single factor can anchor.

A sharp AI reset alongside an energy-and-staples bid frames a setup where simplicity over complexity and think like an owner tend to serve better than compositing a single factor view into the October 27–28 FOMC window and Delta's pre-market print. Avoid erosion.

Geopolitics — Oil Surges on Combined Mideast Shipping Attacks and U.S. Gulf Coast Disruptions as Trump Comments Partially Ease Supply Concerns Late in the Session

WTI (USO) PRINTED \$147.58 (↑2.55%) AND BRENT (BNO) PRINTED \$63.64 (↑2.81%) WITH THE ENERGY SECTOR (XLE) LEADING ALL SECTORS AT ↑2.97%; REUTERS COVERAGE CARRIED IN DATA DROP HEADLINES FRAMES OIL PRICES SURGING AMID MIDEAST SHIPPING ATTACKS AND U.S. GULF COAST DISRUPTIONS WHILE A SEPARATE REUTERS PIECE NOTES OIL FELL LATE ON TRUMP COMMENTS ON IRAN TALKS THAT EASED SUPPLY CONCERNS — THE NET MOVE STILL CARRIED CRUDE HIGHER ON THE DAY

The energy complex delivered the session's strongest sector performance. Per data drop, Chevron (CVX) printed \$211.55 (↑3.12%) as the top FCI mover, ONEOK (OKE) printed \$90.29 (↑2.54%), and CNX held near flat at \$33.83 (↓0.18%). Per Reuters coverage carried in data drop headlines, oil fell as Trump comments on Iran talks eased supply concerns — the piece was published late in the session, which may explain the dispersion between the FCI energy sleeve bid and the softer close in some crude benchmarks. The combination of ongoing Houthi activity in the Red Sea and Gulf of Aden, Hormuz-transit disruption flagged in prior Reuters commentary, and a U.S. Gulf Coast storm event per Yahoo coverage carried in holdings news for CL (Colgate-Palmolive) kept the risk premium elevated through most of the session. Natural Gas (UNG) declined 1.99% at \$10.81 after Wednesday's 2.70% advance — the heating-season bid consolidated into end-of-week positioning. A separate Reuters piece notes China resuming October fuel exports after a brief halt per four trade sources, which may partially offset the near-term tightness in regional refined products. Per data drop headlines, one Reuters piece carries Trump clarifying that his earlier remark suggesting Iran could strike Los Angeles was misinterpreted — a rhetoric-tempering signal that reads through the diplomatic-track rather than the escalation channel. For FCI positioning, the dispersion keeps CVX, OKE, CNX, LMT, GD, and the defense-and-energy complex reading through Delta's pre-market earnings print this morning and the broader shipping-and-insurance channel into the October 27–28 FOMC window.

On Our Radar

1. Today — Delta Air Lines (DAL) reports pre-market with consensus near \$1.99 EPS per data drop earnings calendar; the implied options move was flagged near 7.38% per prior Benzinga coverage, making this the most significant single-stock catalyst of the morning. Fed-speaker cadence into next week's October 27–28 FOMC window remains the broader macro read. Delta's print carries weight as a leading indicator for the broader consumer-discretionary cycle given the airline's exposure to premium leisure, business travel, and corporate capex. The transatlantic and premium-cabin commentary within DAL's call will read through broader air-travel demand indicators and, by extension, hospitality and lodging. The guidance commentary tends to carry more weight than the headline beat or miss, particularly after Wednesday's hawkish-minutes-induced yield move and Thursday's partial yield reversal. For FCI positioning, the FCI dividend sleeve (ADP, CHD, CL, PCAR, FAST, GPC) and the consumer-staples complex that absorbed Thursday's rotation stand to benefit if Delta's guidance supports a soft-landing composition, while a cautious tone could reassert the defensive bid into next week's FOMC window.

2. AI/semiconductor complex reset — a notably sharp single-day repricing in the FCI growth sleeve; AMD printed \$620.68 (↓3.90%) after Monday's AMD-OpenAI compute agreement rally, NVDA \$230.48 (↓2.94%), MRVL \$274.66 (↓3.52%), TSM \$457.99 (↓3.01%), CRDO \$211.86 (↓3.70%), LRCX \$320.59 (↓2.71%), and KEYS \$374.67 (↓1.77%) per data drop; the Yahoo-carried Stocktwits AI Roundup flagged OpenAI revenue concerns, SoftBank's reported \$100B financing hunt, and Microsoft's AI-first pivot as the catalyst mix. Per data drop holdings news for AMD, a separate Yahoo piece carries the headline framing of a critical warning sign in Nvidia stock — a sentiment check consistent with the price action but not supported by changes in order flow or guidance from any FCI holding. The Marvell Analyst Day connectivity outlook near \$20 billion carried earlier in the week has not been retracted. Historically, abrupt single-day sentiment resets in high-momentum names tend to reset positioning rather than fundamentals, though the pattern is not predictive on any single occurrence. For FCI positioning, the dispersion keeps AMD, NVDA, MRVL, TSM, CRDO, FTNT, LRCX, KEYS, and the semiconductor-and-AI-infrastructure sleeve reading through this morning's futures setup and next week's incremental cadence from the AI capex channel.

3. Nuclear-power sleeve reversal — VST printed \$156.14 (↓6.35%) and CEG \$285.07 (↓4.85%) per data drop, partially unwinding Tuesday's paired double-digit rally; HUT led the broader risk-off at \$79.59 (↓10.87%) — the single sharpest FCI loss on the session — and MARA printed \$9.91 (↓4.34%); the utility sector (XLU) printed ↓0.19% as the regulated-utility bid held with NEE at \$77.37 (↑0.40%) and EIX at \$54.30 (↓0.20%). The paired drawdown in VST and CEG alongside HUT and MARA frames the Thursday action as a correlated momentum unwind in the AI-electricity-demand trade rather than a repudiation of the thesis. Per data drop holdings news for CEG, Yahoo coverage flagged the economic-moat question around Constellation Energy and separately asked about potential downside in NuScale Power. Per data drop holdings news for VST, Yahoo coverage framed VST as a candidate for a buy after trailing the market in the near term. The regulated-utility sleeve held in better, with NEE and EIX nearly unchanged, supporting the view that the structural power-demand channel remains intact while merchant-generation and crypto-mining names took the duration-sensitive sell-pressure. For FCI positioning, VST, CEG, NEE, EIX, HUT, and MARA remain in the physical-AI-power-and-digital-mining complex that may consolidate before the next catalyst resets the leadership tape.

4. PepsiCo (PEP) beat yesterday pre-market with reported EPS of \$2.34 versus consensus of \$2.319 per data drop earnings — a modest headline beat with net revenue growth near 5.6% per prior reporting; Helen of Troy (HELE) printed a stronger beat at \$0.79 versus \$0.5151 consensus; Tilray (TLRY) missed at \$(0.32) versus \$(0.1948) consensus; Levi Strauss (LEVI) beat Wednesday after close with \$0.48 versus \$0.37 consensus per prior Business Wire 8-K coverage, aided by approximately \$0.16 of IEEPA tariff refunds per prior 10-Q coverage. The staples bid absorbed much of Thursday's rotation and the consumer-staples ETF (XLP) printed ↑2.11%, consistent with PEP's beat flowing through the broader category tape; per data drop, Colgate (CL) printed \$88.10 (↑1.02%), Church & Dwight (CHD) \$97.73 (↑1.01%), and ADP \$270.73 (↑2.55%) — a composition that extends the defensive rotation signal. Per data drop headlines, a CNBC piece flagged the Starbucks turnaround as working while Chipotle takeover reporting slammed its shares. For FCI positioning, PEP's beat alongside the FCI dividend-sleeve bid (ADP, PCAR, GPC, SPGI, SSNC, LMT) keeps the composition reading through Delta's print this morning.

5. Digital-asset drawdown and the Fear & Greed signal — IBIT printed \$46.26 (↓2.01%) and ETHA \$55.70 (↓4.13%) per data drop; Yahoo coverage carried in data drop headlines for IBIT flagged Bitcoin ETFs suffering their worst loss since June as "Uptober" turned red; HUT at ↓10.87% and MARA at ↓4.34% paired the ETF drawdown with miner weakness; the data drop Fear & Greed Index reads 59 with the crypto-fallback label — the CNN stock-market endpoint was unavailable at drop time and the headline value should be read as a digital-asset sentiment check, not an equity-market read. Per data drop holdings news for IBIT, a Yahoo piece questioned why Bitcoin Futures Funds like BITO keep losing ground to direct-holding alternatives — a structure-vs-performance signal relevant to the IBIT thesis. The paired move across IBIT, ETHA, HUT, and MARA on the same session as the AI-chip and nuclear-power reversal reads as a broad momentum-and-de-risking signal consistent with the OpenAI revenue-concern catalyst. The CNN Fear & Greed read remains unavailable from the data drop; the headline 59 value should be discounted given the crypto-fallback label. For FCI positioning, IBIT, ETHA, HOOD \$107.01 (↓2.28%), SOFI \$15.61 (↓0.32%), HUT, and MARA remain in the digital-asset-infrastructure complex reading through next week's catalyst cadence.

6. Carson's Levels — Thursday's intraday range of \$770.43 to \$777.09 did not approach any active Carson level; the active SPY support at \$645.80 (retracement target set April 13, 2026, per levels.json) remains untouched — the Thursday close sits roughly 19.8% above Carson's level, and SPY would need to decline approximately 16.6% from the Thursday close to reach the target; the April 2026 resistance zones at \$683.70, \$685.85, and the \$691.90–\$693.20 band remain in the "hit" column and have been cleared to the upside since. Per levels.json, no new Carson level has been published since the April 14, 2026 major-resistance-zone hits, and the active support remains the sole open level in the file. Per data drop, Thursday's SPY range widened modestly versus Wednesday (\$770.43 low vs. Wednesday's \$773.61 low) — the gap to Carson's target narrowed by less than one tranche of air. The FCI buy-and-hold tranche framework reserves 70% of reserves for deployment at approximately –25% from peak and the remainder at approximately –40%; the current gap to Carson's level sits consistent with the first-tranche deployment reference. The framework assumes no trimming on either side, so the level reads as a deployment reference rather than a trade signal.

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